A major mass-casualty attack like the one on Mumbai in November 2008 could spark a war. India has shown remarkable restraint over the past decade in its response to provocations by the Pakistani army or militants in Pakistan, or both, such as the Kargil War in 1999, the attack on the Indian parliament in 2001, and the Mumbai raid. Of course, India lacks any good military option for retaliation that would avoid the risk of a nuclear Armageddon. But pressed hard enough, New Delhi may need to make some response.

The impact on Israel would also be huge. Pakistan has a long history of support for the Palestinian cause, but mostly at the rhetorical level. An Islamic state would become a more practical supporter of groups like Hamas, providing them with money and arms. Pakistani embassies could become safe havens for terrorists having an eye on Zionist as well as Crusader targets. Needless to say, Pakistan could also provide the bomb.

A militant Islamic state in Pakistan—the second largest Muslim country in the world and the only one with a nuclear arsenal—would have a massive ripple effect across the Muslim world, more profound that any previous Islamic takeover in relatively remote or marginal states such as Afghanistan, Sudan, Somalia, or Gaza. All of the existing regimes in the Islamic world would be alarmed at the prospect of Pakistani jihadists arriving in search of new refuges and training facilities. As a Sunni state, a jihadist Pakistan would also have far more resonance in the Muslim world than Shia Iran as Sunnis compose some 90 percent of Muslims.

The global Islamic jihad, spearheaded by al Qaeda, would proclaim that the liberation of the ummah was at hand. Pakistani diaspora communities in the United Kingdom and the Gulf States would see the risk of terrorism rise. Meanwhile the United States would have to take steps to curb the travel of citizens of Pakistani origin to their homeland.

Pakistan's military ally, China, would also be threatened by a Taliban state that might provide assistance to the Muslim minority in the west of China. The Chinese might try to use their arms-supply relationship to modulate Pakistani support for Islamic unrest, but it would be difficult to bargain with the regime in Islamabad.

Bangladesh, the other Muslim state in the subcontinent, would also feel the impact of a jihadist victory in its former partner. Islamic militancy has been on the rise in Bangladesh recently and might receive a substantial boost from an Islamic Emirate of Pakistan.